Q.P. Code: 54321

Third Semester B.Com. Degree Examination,
December 2025 / January 2026
(SEP SCHEME)
COMMERCE
CORPORATE ACCOUNTING

Time : 3 Hrs Max. Marks : 80

SECTION - A

Answer any TEN questions of the following. Each question carries TWO marks. (10x2=20)

1. a) What do you mean by Valuation of Shares?
   b) What is Goodwill?
   c) Who is a Liquidator?
   d) Mention any four preferential creditors.
   e) What do you mean by profit prior to incorporation?
   f) Write any four features of goodwill.
   g) Under which note the following items are recorded in the Co. financial statement
      (i) Bad debts (ii) Employer Contribution to PF.
   h) Give the meaning of underwriting of Shares.
   i) What is Firm underwriting?
   j) What is Super profit?
   k) What is Partial underwriting?
   l) How do you treat pre and post incorporation profit?

SECTION - B

Answer any SIX questions of the following. Each question carries 5 marks. (6x5=30)

2. Calculate the value of each type of shares under a Net Assets Method.

10,000 'A' Equity shares of Rs. 100 each fully paid	10,00,000
10,000 'B' Equity shares of Rs. 100 each Rs. 75 paid up	7,50,000
Total	17,50,000
General Reserve	2,50,000
Liabilities : Creditors	2,00,000
Total Tangible Assets	**22,00,000**

3. The Net profit of XYZ Limited after tax for the part five years are Rs. 4,00,000, Rs. 4,25,000, Rs. 4,60,000, Rs. 5,25,000 and Rs. 5,90,000. The capital employed in the business is Rs. 40,00,000. The normal rate of return expected in this type of business is 10%. Calculate the value of goodwill on the basis of 3 years purchase of Super Profit Method.

4. A company was incorporated on 1.7.2021 to take over the business of Mr. Kumar as a going concern with effect from 1.4.2021. Accounts are closed on 31.3.2022. Total sales for the year 31.3.2022 Rs. 3,00,000 divided into Rs. 10,00,000 for the period upto 1.7.2021 and the balance for the remaining period. Calculate Time Ratio and Sales Ratio.

5. Prepare a statement of profit & loss for the year ended 31.03.2025 from the following details of ABC Ltd. is vertical format.

	Rs.
Purchases	6,47,000
Sales	9,83,500
Purchase Returns	3,500
Sales Returns	4,700
Preliminary Expenses	13,320
Manufacturing wages	21,000
Salaries	10,000
Interest on investment	11,400
Depreciation	70,000
Administration expenses	34,680
Interest on debentures	6,000
Sales expenses	8,200
Bad debts	3,400
Stock on 1.4.2024	1,30,000
Sundry expenses	2,000
Stock on 31.3.2025	1,37,000

6. From the following information, you are required to calculate liquidators remuneration.
5% on the amount realised of assets and 4% on amount distributed to unsecured creditors including preferential creditors.

Assets realised	Rs.	5,00,000
Secured creditors	Rs.	1,00,000
Unsecured creditors	Rs.	10,00,000
Preferential creditors	Rs.	2,00,000

7. Arun Ltd. issued 20,000 equity shares. The whole of the issue was under written as follows:
X 50%, Y 30% and Z 20%
Applications for 16000 shares were received in all out of which applications for 4500 shares had the stamp of X, those for 3000 shares that of Y and those for 2500 shares that of Z. Determine the liability of the underwriters.

8. How do you calculate value of shares under Net Asset Method and Yield Method?

9. What are the modes of liquidation of a company?

SECTION - C

Answer any THREE questions. Each question carries TEN marks. **(3x10=30)**

10. Explain different methods of valuation of shares and valuation of goodwill with formulas.

11. The following particulars are available in relation to Spandu Limited.
    (a) 20,000, 5% preference shares of Rs. 10 each fully paid.
    (b) 40,000, equity shares of Rs. 10 each fully paid.
    (c) External liability Rs. 1,50,000
    (d) Total assets Rs. 10,00,000 which includes Rs. 50,000 as fictitious assets.
    (e) The average capital expected profit after tax Rs. 1,00,000
    (f) Transfer to general reserve at 10% of profit.
    (g) Normal Rate of Return for Capitalization purpose is 10%.

    Calculate the value of equity share under:

    a) Net asset method
    b) Yield method
    c) Fair value method

12. *Surya Limited* issued 2,00,000 shares of Rs. 10 each. The entire issue was underwritten as follows:

    A 1,00,000 shares (Firm underwriting 20,000 shares)
    B 60,000 shares (Firm underwriting 10,000 shares)
    C 40,000 shares (Firm underwriting 10,000 shares)

    Total applications received 1,80,000 shares including firm underwriting.

    Marked formal were as follows:

    A 70,000 shares
    B 28,000 shares
    C 32,000 shares

    Calculate the liability of the each underwriter's.

13. The following balances have been extracted from the books of Rohit Ltd. as on 31.03.2025.

	Rs.
Share Capital (Equity shares of Rs. 10 each fully paid)	10,00,000
Securities premium	1,00,000
12% Debentures	4,00,000
Trade payables	2,00,000
Proposed dividend	50,000

Debit in statement of profit & loss	30,000
Investment in Govt. Bonds	4,00,000
Work in progress	1,00,000
Patents	40,000
Unclaimed dividend	10,000
Trade receivables	20,000
Public deposits	50,000
Plant & Equipment	6,00,000
Furniture & Fixtures	1,00,000
Office Equipment	2,00,000
Stock in trade	2,60,000
Stores and Spares	40,000
Expenses on issue of debentures	20,000

Prepare a Balance Sheet of the Company.

14. Sources Ltd. was incorporated on 1.8.2021 to takeover the business of Victory Ltd. as a going concern from 1.4.2021. The profit and loss a/c. for the year ending on 31.3.2022 is as follows:

	Rs.		Rs.
Rent & Taxes	24,000	Gross Profit	3,10,000
Insurance	6,000		
Electricity charges	4,800		
Salaries	72,000		
Director's fees	6,200		
Auditor's fees	3,000		
Commission	12,000		
Advertisement	8,000		
Discount	7,000		
Office expenses	15,000		
Carriage	6,000		
Bank charges	3,000		
Preliminary expenses	13,000		
Bad debts	4,000		
Interest on loan	6,000		
Net profit	1,20,000		
	3,10,000		**3,10,000**

The total turnover for the year ending 31.3.22 was Rs. 10,00,000 divided into Rs. 3,00,000 for the period upto 1.8.2021 & Rs. 7,00,000 for remaining period.

Ascertain the profit earned prior to & post incorporation period.

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